



Best's Credit Rating Effective Date

September 12, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Guardian Life Group

AMB #: 069685

Associated Ultimate Parent: AMB # 006508 - Guardian Life Insurance Company of America

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A++ Superior
Outlook: Stable Action: Affirmed

Issuer Credit Rating (ICR)

aa+ Superior
Outlook: Stable Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Strongest
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Very Strong

Rating Unit - Members

Rating Unit: Guardian Life Group | **AMB #:** 069685

AMB #	Rating Unit Members
007409	Berkshire Life Ins Co of Amer
008197	Guardian Ins & Annuity Co

AMB #	Rating Unit Members
006508	Guardian Life Ins Co of Amer

Rating Rationale

Balance Sheet Strength: **Strongest**

- Guardian Life Group (Guardian) maintains the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR), and the group has taken steps to reduce its balance sheet risks, for example, by reinsuring its in-force variable annuity block and gradually enhancing the sale of fee-based lower-risk and capital-light products such as dental and vision insurance.
- A majority of the general account liabilities are interest sensitive; however, Guardian's liabilities overall are supported by well-matched assets, and the group maintains a relatively conservative and diverse investment portfolio for its retained assets. This is demonstrated by its overall surplus remaining robust in a continued higher or lower interest rate environment under its New York 7 cash flow stress testing.
- Guardian also utilizes external reinsurance with well-rated counterparties for a range of fixed deferred annuity product sales to prudently manage capital.
- Due to the higher interest rate environment primarily, its fixed-income portfolio is in an unrealized capital loss position; however, management expects these assets to be held-to-maturity and matched against liability and liquidity needs, and the group closely monitors its credit risks through watch lists and regular impairment testing.
- Guardian has strong liquidity measures driven by good cash flows from its regulated and non-regulated subsidiaries, and it has access to contingent liquidity, if necessary.
- The organization maintains favorable financial and operating leverage in the form of surplus notes and funding agreements, respectively, and interest coverage ratios that are within AM Best's tolerances for the current rating levels.

Operating Performance: **Strong**

- Sales and premium growth across all segments have been managed to mitigate new business acquisition cost strain on available capital, and overall growth has been favorable over the last five years, demonstrating the effectiveness of a well-diversified product portfolio and a strong distribution network.
- The higher interest rate environment along with steady growth in total invested assets, driven by growth in whole life, funding agreements and strong individual annuity sales over the last five years, has supported favorable net investment income generation.
- Guardian has consistently reported a trend of favorable statutory operating earnings, overall and across most of its core lines of individual and group business, driven by both risk and non-risk fee income businesses. Guardian continues to grow its well-seasoned participating whole-life insurance block, as well as its suite of individual annuity and group accident, health, and life insurance products.
- Returns on equity (ROEs) after policyowner dividends have historically averaged at or slightly above the single-digit range but are significantly higher pre-dividends.

Business Profile: **Favorable**

- The organization maintains a favorable business profile through its diversified product offerings and solid market positions across its core individual and group products, supported by leading distribution capabilities.
- The group's product risk and concentration profile is favorable with most retained reserves dedicated to traditional ordinary life. While the gross reserves for annuity products have increased, a majority of the gross reserves is still dedicated to traditional ordinary life.
- Guardian has a highly productive career agency network, which helps to provide consistent premiums and earnings growth through a strong distribution profile.
- The organization's core markets are viewed as competitive, and new entrants continue to challenge sales and market share through pricing and product innovation.

Enterprise Risk Management: **Very Strong**

- Guardian has a well-established ERM program that is embedded in the organization's governance, processes, and culture.
- The organization utilizes a well-defined risk appetite statement and tolerances that are aligned with its strategic objectives and driven by its key risks.

- Emerging risks are actively managed through stress testing and data analytics through various corporate and business risk committees.
- Guardian utilizes a number of external investment managers to provide expertise through management of a more diversified invested assets portfolio, which exposes the organization to incremental outsourcing and operational risk.
- Guardian has a long-standing stochastic Economic Capital Model that is used to supplement its traditional risk-based capital metrics, to better understand tail risks, and to assist in driving business decision-making processes in areas such as reinsurance, pricing, and business mix.

Outlook

- The stable outlooks reflect the expectation that the group will maintain its overall balance sheet strength assessment in the strongest range, supported by the strongest level of risk-adjusted capitalization and strong operating results contributing to surplus growth needed to support an expanding book of business.

Rating Drivers

- A negative rating action could occur if the group experiences a material decline in its overall balance sheet strength metrics including its risk-adjusted capitalization.
- A negative rating action could occur if the group experiences a material or sustained decline in overall operating performance metrics.
- Although unlikely, a positive rating action could occur if the group experiences a material sustained improvement in overall operating performance metrics, while maintaining its levels of risk-adjusted and absolute capitalization.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	59.4	47.3	42.7	41.2

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Assets:							
General Account	98,792,688	92,917,163	96,167,557	89,868,290	84,672,078	80,934,550	76,652,162
Separate Accounts	6,018,721	6,696,562	6,232,551	7,040,252	7,215,076	9,695,860	9,710,875
Total	104,811,408	99,613,725	102,400,108	96,908,541	91,887,154	90,630,409	86,363,037
Liabilities:							
Net Life Reserves	61,882,172	58,483,723	59,618,909	57,399,585	54,125,416	51,740,923	49,116,551
Net Accident & Health Reserves	6,908,845	6,729,456	6,786,922	6,605,567	6,380,386	6,029,438	5,803,669
Liability for Deposit Contracts	7,919,029	6,281,017	7,324,917	5,807,709	5,123,805	4,597,887	4,720,220
Asset Valuation Reserve	1,734,270	1,731,784	1,697,222	1,611,913	1,564,830	1,552,411	1,221,706
Other General Account	10,824,071	10,469,137	11,451,682	9,376,995	8,635,491	8,427,508	8,033,607
Total	95,283,813	90,391,764	93,112,045	87,836,183	83,041,732	82,041,459	78,603,295
Total Capital and Surplus	9,527,596	9,221,962	9,288,063	9,072,359	8,845,422	8,588,951	7,759,742
Net Income	223,898	172,969	206,185	345,249	-65,715	144,059	69,847
Net Premiums Earned	6,447,400	5,082,187	10,654,595	10,984,997	3,095,718	9,749,228	9,231,107
Net Investment Income	2,036,238	1,827,192	3,884,634	3,415,062	2,945,830	3,116,752	2,763,504

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months		Year End - December 31					Weighted Average
	2025	2024	2024	2023	2022	2021	2020	
Operating Return on Revenue	3.5	3.3	4.1	3.3	2.3	4.4	5.4	3.9
Operating Return on Capital and Surplus	6.1	4.7	6.2	5.2	3.6	7.4	9.0	6.2
Net Investment Yield	4.5	4.3	4.5	4.2	3.8	4.3	4.0	4.2
Pre-Tax Investment Total Return	3.8	4.6	3.8	3.4	3.3	5.3	3.7	3.9

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months		Year End - December 31					2020
	2025	2024	2024	2023	2022	2021	2020	
General Account Liabilities to Capital and Surplus	9.4	9.1	9.4	8.9	8.6	8.4	8.9	
Higher Risk Assets to Capital and Surplus:								
All Other Higher Risk Assets	113.6	110.2	112.4	110.1	107.9	97.7	96.4	

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months		Year End - December 31					2020
	2025	2024	2024	2023	2022	2021	2020	
Current Liquidity (%)	75.2	75.3	74.7	77.3	80.0	82.3	82.8	
Net Operating Cash Flow USD (000)	1,991,008	881,796	3,407,950	4,137,807	2,909,672	3,475,184	3,275,439	

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

Guardian Life Insurance Company of America (Guardian Life) (New York, NY) and its core subsidiaries, Guardian Insurance & Annuity Company, Inc. (GIAC) (Wilmington, DE) and Berkshire Life Insurance Company of America (Pittsfield, MA), are together referred to as Guardian. Guardian maintains the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR). Guardian is a mutual insurance company with no capital stock and no shareholders. Consequently, it is unable to access directly the public equity markets as a means to raise capital. Despite its mutual company structure, Guardian has favorable financial flexibility with diverse sources of capital and liquidity, including Federal Home Loan Bank borrowings, a bank line of credit that has not been drawn, but is available if needed, reinsurance with generally well-rated counterparties, as well as access to capital markets through the surplus notes and funding agreements. Guardian utilizes external investment managers to provide further expertise in the management of a more diversified invested asset portfolio, which has supported strong investment income and overall operating earnings over the last five years.

The group has the strongest overall balance sheet with steady growth in capital and surplus due to consistent operating gains. Guardian's capital position has historically been one of its major strengths, with favorable risk-adjusted capitalization relative to its insurance, business and investment risks. Capital and surplus has increased steadily over the five-year period, which compares favorably with the industry. Growth in its asset base resulting in favorable net investment income results, while protecting capital despite market volatility, has contributed to the Guardian's growth in available capital.

The group has taken significant steps over the years to continue to improve its capital base on both an absolute and risk-adjusted basis. Guardian divested its closed variable annuity block through reinsurance in 2022, and in prior years reduced its public equity exposure. The group has also maintained its focus on more stable, lower-risk lines of business such as individual participating whole life and group dental insurance, while also strategically growing gross premiums in its more recent annuity lines of business in support of the growing retirement solutions segment. The company has diversified its business profile by selling a suite of individual annuity products with reinsurance support, in line with the group's purpose to "inspire wellbeing" of their policyowners. GIAC has significantly enhanced individual annuity sales in recent years, supported by strategic reinsurance partnerships which has the potential to drive further increases to investment spread income, invested assets and available capital. Overall, earnings are diversified across Guardian's multiple product offerings, which includes some fee-based businesses along with more capital-intensive products that are strategically reinsured to well-rated counterparties to prudently manage capital.

Balance Sheet Strength (Continued...)

Partially offsetting these positive rating factors is Guardian's reinsurance leverage in its individual annuity line of business, although the group has taken actions to maintain more of the economics. This capital management strategy is anticipated to continue supporting Guardian's strategic objectives, which include maintaining competitive dividend and crediting rates on its core participating whole life insurance and annuity businesses, respectively. Guardian's strategic use of reinsurance partnerships has mitigated new business strain and has supported favorable growth in revenue; prudently managing capital while furthering its outreach into new strategic markets and improving its financial flexibility. While growing concentration in certain annuity reinsurers does present risks that AM Best will monitor, Guardian's reinsurance exposure is more diversified when viewed across all product lines. Reinsurer counterparty risk is largely mitigated by comfort trusts, which are held onshore, under Guardian's annuity coinsurance agreements. Guardian's reinsurance commissions received on ceded business have increased steadily over the last five years, highlighting Guardian's strategic use of reinsurance to grow its retirement solutions business, while maintaining its overall operating performance metrics and risk-adjusted capitalization.

AM Best generally views high reinsurance leverage that makes the cedent too dependent on the creditworthiness of or the ceding commissions provided by its reinsurer/s, particularly when less well rated and by several notches, as lower quality capital and a credit negative. In the case of Guardian however given its commitments to the principles of mutuality that limit its access to equity financing and other capital sources, utilizing optimized reinsurance in its capital structure to further strengthen its overall and risk-adjusted capitalization is viewed favorably with some caution. The high quota share of annuity sales to reinsurers only a few notches below Guardian, constitutes a relatively small amount of reserves ceded compared to the inforce book of other retained business, and Guardian has some credit risk mitigations such as comfort trusts, which limits the impact to the BCAR. This highlights the importance of qualitative factors such as Guardian's management of its business profile and enterprise risk. GIAC cedes approximately \$7.7 billion of fixed annuity general account reserves to Commonwealth Annuity and Life Insurance Company (MA) via four treaties since 2020-2024 on a standard coinsurance basis with comfort trusts (AM Best ICR "a+"). GIAC coinsures roughly \$161 million of fixed annuity reserves to American General Life Insurance Company (TX) of Corebridge since 2022 (AM Best ICR "a"). Also, GIAC cedes approximately \$363 million of variable general account reserves to Talcott Resolution Life Insurance Company (CT) (AM Best ICR "a-") since 2022, along with about \$5.5 billion of variable annuity separate account reserves on a modified coinsurance basis. Further AM Best will monitor Guardian's rated reinsurers and any subsequent impact to Guardian's ability to honor its claims to policyowners, whether this could be impacted gradually at first or in a sudden stress event that could bring larger one-time impacts such as a recapture of the business.

Furthermore, a cedent's risk-adjusted capitalization would likely be higher than would be the case without reinsurance, reflecting the reserve and required capital benefit partially offset by higher reinsurance counterparty risk charges, and the attraction of additional capital by investors to support policyowner benefits. AM Best generally views Guardian's strategic and disciplined use of reinsurance favorably overall to support its newer annuity product lines in support of its retirement solutions growth. Guardian faces ongoing competition from mutual and stock companies in the highly competitive U.S. life/annuity market; however, the organization has expanded its well-diversified product portfolio in support of a strong distribution network that includes some new distribution sources.

Guardian employs conservative reserving practices for its retained business, and the group monitors the nature and performance of assets ceded in its comfort trusts regularly for true up, which, in some treaties, can also be converted to market value trusts upon certain triggers.. Guardian does not utilize onshore captives or any permitted accounting practices in its entities' states of domicile. Guardian has generated favorable net cash flows for the past five years, and it has modest financial and operating leverage ratios, as well as interest coverage ratio that remain within tolerances for its rating levels.

Guardian Life and its core subsidiaries, GIAC and Berkshire Life, have a Financial Strength Rating of A++ (Superior) and a Long-Term Issuer Credit Rating of "aa+" (Superior). Guardian Life has four unaffiliated outstanding surplus notes in the aggregate principal amount of \$1.5 billion and no other long-term indebtedness outstanding. In addition, Guardian Life Global Funding has issued \$4.4 billion in funding agreement-backed notes, which are secured by funding agreements issued by Guardian. Guardian Life's surplus notes have Long-Term Issue Credit Ratings (Long-Term IR) of "aa-" (Superior) reflecting standard two levels of notching. Guardian Life Global Funding's medium-term notes, which are backed by funding agreements issued by Guardian Life, have Long-Term IRs of "aa+" (Superior) that follows the lead rating unit because the notes are pari passu to other policyowner claims, Guardian Life invests the proceeds in spread-generating assets that are well matched against the liabilities, and the investors do not have optionality to call their investments prior to the maturity of the notes.

Guardian does not rely on dividends from its subsidiaries to meet its operating cash flow requirements or to service its obligations under the surplus notes. For the year ended December 31, 2024, Guardian received approximately \$166 million in cash dividends from its subsidiaries. Guardian records these dividends as net investment income.

Balance Sheet Strength (Continued...)

Capital Generation Analysis USD (000)	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Beginning Capital and Surplus	9,288,063	9,072,359	9,072,359	8,845,422	8,588,951	7,759,742	7,615,552
Net Operating Gain	288,847	215,517	568,100	466,909	312,899	607,656	691,539
Net Realized Capital Gains (Losses)	-64,949	-42,548	-361,915	-121,660	-378,615	-463,598	-621,691
Net Unrealized Capital Gains (Losses)	-208,875	116,586	128,633	-106,881	117,594	798,907	-97,628
Net Change in Paid-In Capital and Surplus	612	612	1,223	1,223	1,223	1,223	297,745
Other Changes in Capital and Surplus	223,898	-140,564	-120,337	-12,655	203,369	-114,980	-125,775
Net Change in Capital and Surplus	239,533	149,603	215,704	226,937	256,471	829,209	144,190
Ending Capital and Surplus	9,527,596	9,221,962	9,288,063	9,072,359	8,845,422	8,588,951	7,759,742
Net Change in Capital and Surplus (%)	2.6	1.6	2.4	2.6	3.0	10.7	1.9
Net Change in Capital and Surplus (5 yr CAGR)	...	...	4.1	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Guardian maintains a very disciplined investment management process that is designed to meet its investment objectives of maximizing returns and minimizing risks. Guardian has a strategic partnership with HPS pursuant to which Guardian holds a passive minority equity stake in HPS (now BlackRock). In 2024, Guardian shifted the investment management of approximately \$30 billion of additional general account assets to HPS, including public high yield, investment grade private credit, and real estate debt and equity. Guardian investment professionals who worked on the transitioning asset classes moved to HPS to provide continuity in the management of the assets. In 2025 Guardian entered into a similar asset management arrangement with Janus Henderson to manage primarily investment grade public fixed income investments. Guardian has gradually increased its allocations in private placement debt and commercial mortgages with the goal of enhancing risk-adjusted returns and maintaining product competitiveness and overall operational performance metrics, yet Guardian's overall level of below investment grade bonds remains relatively stable, and the group regularly monitors its watch list and the potential for other-than-temporary impairments (OTTI). Guardian retains full control over asset allocation strategy, which remains consistent with historical practices and Guardian's risk appetite.

Mortgage loans represent over 9% of invested assets, with favorable experience overall to date. The mortgage portfolio is entirely comprised of commercial loans, well diversified by region and property type with low average Loan-To-Value ratios, with very low exposure to office properties. Guardian also maintains some exposure to alternative investments, including private equity and additional real estate. Guardian diligently manages its investment portfolio through stress-test modeling as part of its enterprise risk management processes.

Guardian maintains a high level of liquidity suitable for its diversified risk profile. Both its short-term (30 days) and longer term (up to 12 months) ratios, which measure cash requirements under stressed scenarios are within tolerance for its current ratings levels. A ratio that exceeds 100% indicates that a higher comfort level exists and that a company's exposure to liquidity risk is acceptable. Guardian is a member of the Federal Home Loan Bank of NY, which provides a path for additional contingent sources of liquidity to the organization. This high degree of liquidity also enables Guardian to meet unexpected cash needs without the untimely sale of investments, which could result in realized losses if rates remain higher or in times of market volatility. Guardian's quick and current liquidity ratios measure the proportion of liabilities covered by cash and investments that can be converted quickly to cash, respectively, and are within expectations and are comparable to industry composites.

Guardian monitors the volume of business split by surrender charge and market value adjustment features, which limits asset-liability mismatch and liquidity risks. A new product called MarketPerform, which is a Registered Index-Linked Annuity ("RILA"), was introduced in 2024. It is a single premium deferred variable annuity that has a 6-year surrender charge period. The single premium at issue may be allocated among multiple crediting strategies. Effective on each anniversary, the owner may reallocate all or a part of the contract value among the available interest crediting strategies. Guardian's growth in its funding agreement business also limits policy behavior risks, as there is no optionality in the funding agreements.

Balance Sheet Strength (Continued...)

Composition of Cash and Invested Assets	6-Months		Year End - December 31				
	2025	2024	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	90,685,891	85,241,284	88,648,101	82,790,564	77,962,058	74,593,160	70,472,559
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	2.1	2.2	3.4	1.7	1.9	1.3	0.7
Bonds	70.9	71.0	68.9	73.1	75.4	77.9	79.5
Stocks	0.3	0.2	0.3	0.1	0.1	0.1	0.2
Mortgage Loans	8.9	9.1	9.0	9.3	8.5	8.0	7.7
Other Invested Assets	15.8	15.2	16.1	13.4	11.6	10.8	10.2
Total Unaffiliated	98.0	97.6	97.8	97.6	97.5	98.1	98.3
Investments in Affiliates	2.0	2.4	2.2	2.4	2.5	1.9	1.7
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.4	0.1	0.2	0.1	0.2	7.5
Government Agencies and Municipal Bonds	0.1	0.4	0.2	0.8	0.5	13.6
Industrial and Miscellaneous Bonds	7.7	23.3	17.9	19.1	28.6	12.5
Bank Loans	...	1.5	1.0	...	...	4.8
Hybrid Securities	...	...	...	...	...	6.7
Affiliated Bonds	0.2	...	0.5	...	...	5.9
Total Bonds	8.3	23.7	18.8	20.0	29.2	12.5

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	61,448,875	60,788,583	58,960,500	58,118,635	56,034,599
US Government (%)	0.3	0.3	2.2	2.6	3.5
Foreign Government (%)	0.6	0.6	0.6	0.5	0.3
Foreign - All Other (%)	21.7	20.3	19.3	17.9	17.8
State, Municipal & Special Revenue (%)	2.0	2.3	2.5	2.7	3.6
Industrial & Miscellaneous (%)	74.8	76.0	75.1	76.3	74.3
Hybrid Securities (%)	...	0.1	...	0.1	...
SVO Identified (%)	...	...	...	...	0.4
Affiliated (%)	0.6	0.5	0.3	...	...
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Operating Performance

Founded on July 10, 1860 and incorporated in the State of New York, Guardian is the fourth largest U.S. mutual life insurance company based on statutory surplus of approximately \$9.3 billion, \$9.1 billion and \$8.8 billion, as of December 31, 2024, 2023 and 2022, respectively. Guardian primarily operates in the ordinary life insurance business, but also provides, directly or through its subsidiaries, a wide range of group, disability, wealth management and retirement savings products and services, as well as investment services. The company provides its products and services to individuals, corporations and other institutions in all 50 states of the U.S. and the District of Columbia. Guardian's major subsidiaries include BLICOA, FCW, GIAC and GIS. As of December 31, 2024, 2023 and 2022, Guardian had total assets of about \$86.8 billion, \$80.3 billion and \$76 billion, respectively. For the years ended December 31, 2024, 2023 and 2022, Guardian generated total premium income of roughly \$10.5 billion, \$10.1 billion and \$9.9 billion, respectively. For the years

Operating Performance (Continued...)

ended December 31, 2024, 2023 and 2022, Guardian's net gain from operations totaled \$2.2 billion, \$2 billion and \$1.4 billion, respectively and net income totaled \$181 million, \$362 million and \$14 million, respectively.

Guardian has generally reported favorable operating performance trends supported by stable underwriting results and strong net investment income. Investment income has benefited from investment returns on organic capital growth despite the impact of the prior lower reinvestment yield environment.

Guardian has a diversified revenue and earnings profile supported by a broad portfolio of individual and employee benefit products. Historically, all major business lines have reported statutory pre-tax operating gains over a five-year period, reflecting the group's balanced product portfolio. The company's return on equity after dividends are consistently in the high single-digit rate range and have been favorable compared to its mutual peers. Statutory pre-tax operating earnings have also benefited from targeted expense reductions to achieve efficiencies necessary for technological investment and new business growth. AM Best believes that Guardian's initiatives for growth, combined with the organization's strong capitalization, provide it with a high level of flexibility and support the sustainable earning trends.

The Individual Market business is supported by a low-risk participating Whole Life product with strong market share that accounts for about 71% of total Individual Markets general account reserves. The Individual Disability business has typically been a consistent contributor to profitability driven by stable morbidity loss ratios. The Individual Annuity business driven by the group's fixed annuity products, has also been a good source of earnings for the group.

Guardian's Group Benefits business consists of its suite of employee benefits products such as dental, vision, group life, AD&D, disability, supplemental health and absence management. Earnings from this business have grown along with inforce business growth and have supported strong earnings diversification. The company's ability to annually reprice most of its employee benefit business, along with strong underwriting and claim payment controls have resulted in stable morbidity loss ratios.

The company generates additional earnings through its Funding Agreement Backed Notes program.

Guardian is domiciled in the State of New York, which accounts for more premium income volume for Guardian than any other state, approximately 16.6% in 2024, 17.3% in 2023 and 17.8% in 2022. Accordingly, changes in New York laws and regulations that apply to business written in New York can affect Guardian disproportionately relative to its competitors.

	Year End - December 31				
Net Operating Gain By LOB USD (000)	2024	2023	2022	2021	2020
Individual Life	67,297	-19,656	-312,660	-53,778	-203,260
Group Life	110,542	64,830	-21,630	-88,404	-31,822
Individual Annuities	-57,848	15,993	181,004	283,154	191,438
Group Annuities	-4,383	-18,387	-63,749	19,715	23,857
Accident & Health	451,610	423,454	530,305	445,387	710,726
Other Lines of Business	-23	-53	1,068	330	1,171
YRT Mortality Risk Only	904	727	-1,439	1,254	-570
Total	568,100	466,909	312,899	607,656	691,539

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Accident & Health Statistics	2024	2023	2022	2021	2020
Net Premiums Written USD (000)	5,045,045	4,807,353	4,657,196	4,274,606	4,026,373
Net Premiums Earned USD (000)	5,038,983	4,800,675	4,651,608	4,269,673	4,027,768
Claims and Cost Containment Ratio (%)	63.6	63.4	65.8	64.2	60.7
Expense Ratio (%)	34.2	33.9	33.4	33.7	35.6
Combined Ratio (%)	97.8	97.3	99.3	98.0	96.4
Underwriting Results USD (000)	111,152	127,211	31,427	84,969	145,941

Source: BestLink® - Best's Financial Suite

Business Profile

Guardian and its subsidiaries provide a full range of products and financial services to customers throughout the United States. Guardian is strategically organized in two core segments: Individual Markets and Group Benefits. Through these two business segments it offers both insurance and fee-based products and service options. Its wide array of product offerings enables its client base to diversify its portfolio through insurance, investment, securities brokerage and other pertinent financial products and services. More specifically, products and services in Individual Markets include: Individual Insurance, Individual Annuities, Individual & Multi-life Disability Income (DI), and Funding Agreements. Also within the Individual segment the organization offers fee-based services, via Park Avenue Securities (Wealth Management) and Innovative Underwriters (DI). Switching to Group Benefits, the core insurance offerings are: Dental/Vision, Short-term Disability (STD)/Long-term Disability (LTD), Life and AD&D, and Supplemental Health. This is rounded out with its Group fee-based businesses including Absence Management Programs, and Administrative Service Only (ASO) business.

Guardian's retirement product offerings include fixed annuity products offered by Guardian through Guardian Insurance & Annuity Company (GIAC), as well as non-proprietary mutual funds. The company has been strategically repositioning itself for several years, particularly focusing on this segment by de-risking its variable annuity business and adding fixed annuity products to the annuity portfolio. Guardian ceased manufacturing VA products with living benefit riders nearly ten years ago. Fixed products are distributed through the career agency force and select outside direct distribution. In recent years, the company has emphasized product enhancements and technology improvements to make it easier for producers and customers to access information. For example, the company had developed deferred income annuity products and has focused on balancing features and fees ensuring value for plan participants. The company has provided Guardian's 24-hour telephone and voice response capability and integrated customer statement platform to provide for administrative competencies which are vital to competing effectively in Guardian's chosen markets.

Berkshire Life Insurance Company of America (Berkshire), Guardian's subsidiary, offers individual and multi-life disability insurance (DI). The combined DI business is managed by Berkshire. Berkshire is a leading writer of non-cancelable individual disability insurance. DI products are sold primarily through the group's core field representative force, independent agents and outside brokers. Recent growth initiatives include expanding distribution capabilities through the use of wholesalers to attract brokers and executive benefit plan specialists. With the consolidation of this line through Berkshire, the organization has improved operating fundamentals such as pricing, underwriting, and claims management. The disability line strengthens Guardian's product offerings, and the company has placed DI specialists in agency offices to enhance sales efforts. Expanding upon its DI expertise and to provide additional products to its representatives, Berkshire introduced a multi-life DI product for employees of small and medium-sized businesses.

Guardian targets the small business owner, upper-income individuals and working professionals. The company's strategy for growth is focused on distribution, including the ongoing expansion and improvement of its career agency system supplemented by growth in the independent agent and broker channels, and further development and support of its worksite channel. Its distribution management team focuses on agent recruitment through turnkey solutions for start-up agencies and sales manager development through a portfolio of training programs and technology driven tools. Guardian's employee benefits portfolio is distributed by the company's group representatives, who work both directly with clients and through brokers. Guardian's financial results are reported through its two primary businesses: Individual Markets which provides products and services to individuals primarily through the general agency distribution channel, and Group Benefits which provides products and services through employers and other groups. Both the insurance and investment products are marketed through the company's career agency force. Guardian's career sales force has grown through actively recruiting general agents, regional directors and sales managers, as well as through excellent agent retention. These efforts have helped contribute to the group's whole life sales growth. The company continues to revamp its career training program with a focus on recruiting and succession planning for key agencies to assure continued growth while maintaining talent within its distribution. This stability in the sales force provides a competitive advantage in the upper-income market. The sales organization's strength and stability, as well as its focus on the upper-income market, are evidenced by the fact that Guardian's average case size, premium persistency, average face amount and average premium per policy are significantly higher than its peer group.

Its broad product portfolio includes traditional participating whole life, universal life, level premium term, and pension trust products. To counteract the prior low interest rate environment within its Individual Market segment, the company had de-risked some interest-sensitive business lines (UL and Executive Benefits BOLI), and had exited its Executive Benefits COLI, long-term care business lines, and the group also divested its variable annuity business in 2022 through an external reinsurance transaction. Traditional whole life insurance, Guardian's core product, represents the majority of ordinary life premium production for the group with individual term and universal life providing diversification benefits to its Individual Life profit center. Guardian's agent recruiting and training initiatives, new and enhanced products, improved customer and producer support, and complementary distribution outlets should also provide opportunities in the group's core market. While A.M. Best views the success of the company's strategic initiatives positively, it believes the industry is highly competitive, and Guardian may be challenged to continue its growth trends in the individual marketplace. Guardian's response to a challenging environment includes growth initiatives, product innovation, cost reductions, increased government relations and additional strategies in Group Dental, Life and Disability businesses to mitigate the impact of health care reform. Guardian has introduced a number of new features through its ongoing product development, for example an accelerated

Business Profile (Continued...)

death benefit rider for long term care (LTC) to its whole life product, which allows the policyholder to accelerate a portion of the policy's death benefit if the individual becomes chronically ill and needs LTC services.

Guardian's Group Benefits insurance segment focuses on the employee benefits market (generally employers less than 5,000 employees). The company's balanced product portfolio includes dental preferred provider organization (PPO) and dental health maintenance organization (DHMO), vision, disability, life, critical illness, cancer and accident coverage sold through the broker market, managed by group sales representatives nationwide. Guardian had developed a suite of dental benefit products, which are offered on a number of small business health exchanges, which were formed as part of health care reform several years ago, for small companies with 50 or less employees. Guardian participates in state and private exchanges with exchange certified dental programs.

GIAC has traditionally sold Guardian's separate account business. Separate accounts reflect two categories of risk assumption: non-guaranteed separate accounts, for which the policyholder assumes the investment risk; and guaranteed separate accounts, for which GIAC contractually guarantees either a minimum return or minimum account value to the policyholder. In the guaranteed category, the only product offered for sale is the RILA, which has hedgeable guarantees with respect to the return caps and buffers that are offered and that are frequently repriced to align with market conditions.

As of January 1, 2025, Guardian and its subsidiaries employed approximately 7,500 people. In addition, as of December 31, 2024, over 2,800 full-time career agents are engaged in the sale of Guardian's products. Approximately 37 entities have selling and servicing agreements for GIAC annuities (including PAS) and 292 broker-dealer entities have servicing agreements for GIAC annuities.

Guardian performs select operational functions in several locations in India through its Guardian India subsidiary. Functions performed include data entry, new business processing, billing, call center and scheduling. Guardian India provides services to Guardian and its affiliates, but no outside parties. These administrative operations are supported by Guardian's India operations and, in the future, Guardian may seek to expand its operations in India or into other countries.

In the table below, the Reinsurance Premiums Ceded for the Individual Annuity line of business includes \$913 million of premium ceded in a block reinsurance transaction, related to business written in prior years. If Reinsurance Premiums Ceded were adjusted for the \$913 million, the Net Premium Written amount would be \$753,549 and the Business Retention percentage would be 15.1%.

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	5,751,246	34.3	24,714	3.3	393,510	5.7	5,382,450	50.4	93.2
Group Life	876,282	5.2	745	0.1	467,543	6.8	409,484	3.8	46.7
Individual Annuities	5,003,407	29.8	...	...	5,162,868	75.4	-159,461	-1.5	-3.2
Group Annuities	1,354	...	...	...	...	...	1,354	...	100.0
Accident & Health	5,145,082	30.7	726,050	96.6	826,087	12.1	5,045,045	47.2	85.9
Total	16,777,370	100.0	751,509	100.0	6,850,009	100.0	10,678,871	100.0	60.9

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2024	2023	2022	2021	2020
New York	5,402,144	7,503,250	3,678,345	3,180,959	4,049,446
California	1,787,253	1,419,910	1,179,798	961,007	889,759
Florida	1,223,925	1,047,398	829,336	730,696	659,839
Texas	1,126,558	934,047	688,142	601,889	570,928
New Jersey	917,650	823,336	731,892	680,869	629,748
Top 5 States	10,457,530	11,727,940	7,107,513	6,155,420	6,799,721
All Other	8,247,967	6,668,867	5,272,954	4,684,418	4,330,376
Total	18,705,497	18,396,807	12,380,467	10,839,837	11,130,097
Geographic Concentration Index	0.11	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Enterprise Risk Management (ERM) is foundational to Guardian's mission and the company has a formal risk governance and organizational structure to monitor and manage enterprise risk with assigned responsibilities. ERM objectives are to aggregate and manage risk on an enterprise-wide level, ensure robust risk management processes, and instill a risk management culture throughout the organization. By accomplishing these objectives, Guardian's ERM efforts allow the entity to maintain excellent financial strength, favorable capitalization and provide its customers with products that optimize the balance between financial risk and return for both policyholders and the enterprise.

Guardian operationalizes its ERM through various committees all of which report to the Corporate Risk Management Committee (CRMC). Committees which report to the CRMC include Financial, Insurance, Technical and Operational Risk Management Committees. The CRMC consists of CEO, CFO, and other senior executives and is chaired by the Chief Risk Officer. Each Committee has a charter defining its mission and how it operates.

The board of directors has ultimate responsibility to monitor enterprise risks and management's plans to manage those risks, and the Board and each of its principal Committees have written charters containing explicit statements of their responsibilities for monitoring enterprise risks and the Company's plans to manage those risks. Specifically, the Audit and Risk Committee is responsible for monitoring all risks and their related management plans not explicitly covered by other Board committees. At the management level, the Financial Risk Management Committee monitors all investment, capital and liquidity risks. The Insurance Risk Management Committee monitors product pricing and insurance risks and reinsurance policies.

Guardian's risk appetite statement and tolerances are aligned with its strategic objectives and driven by its key risks. Risk appetite statements include both quantitative and qualitative requirements. The enterprise risk appetite statement is reflective of Guardian's risk philosophy and stakeholder expectation, and acknowledges willingness, capability, and capacity to take on risk. The risk appetite statement is reviewed and approved at the Corporate Risk Management Committee and reviewed annually with the Board of Directors. It reflects all material risks including interest rate, equity market, credit, business and operational. The risk appetite statement includes quantitative risk tolerances which mandate minimum risk-based capital and liquidity ratios, place constraints on earnings volatility and establish maximum operational risk, all under various defined stress scenarios. The Company uses various tools to understand and evaluate risks including stress testing and economic capital modeling. Economic capital modeling is performed for all business segments utilizing a set of integrated scenarios which identify all material business risks using a conditional tail expectation ratio of 99% (i.e. required capital is computed based on the outcomes of the worst 1% scenarios). Finally, in addition to its economic capital model, the company has completed a review of its Own Risk and Solvency Assessment (ORSA) for use internally and with the state regulator.

Partially offsetting these positive rating factors is the potential for higher interest rate exposure should the company's reserve profile continue to shift toward annuities. As ceded volumes increase over time, reinsurer counterparty credit risk analysis during Guardian's financial planning, monitoring and stress testing processes under the company's ERM framework will gain even more importance. AM Best will monitor Guardian's periodic credit reviews of their reinsurers, focusing on, among other things, financial capacity, stability, trends and commitment to the reinsurance business. Guardian maintains a strong market position in individual life insurance as the industry's fourth-largest writer of participating whole life, which in AM Best's view mitigates product risk. However, the group has expanded its product footprint into other markets, and the organization faces ongoing competition from mutual and stock companies in the highly competitive U.S. life/annuity market.

Reinsurance Summary

The company limits its exposure to loss by maintaining ceding agreements with several major reinsurers under various types of treaties. Guardian's maximum net retention is \$25 million per life for ordinary whole life insurance policies, \$2 million for ordinary term life, and \$1 million for group life. The group generally coinsures the annuity business on a quota-share basis.

Environmental, Social & Governance

AM Best believe that there is low risk to ESG factors at this time. Credit quality, investment risk, and underwriting activities are also viewed as having limited ESG risk.

Financial Statements

	6-Months		Year End - December 31			
	2025		2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	1,932,058	1.8	3,027,822	3.0	1,418,147	1.5
Bonds	64,661,639	61.7	61,448,875	60.0	60,788,583	62.7
Preferred and Common Stock	512,747	0.5	499,007	0.5	471,638	0.5
Other Invested Assets	23,579,446	22.5	23,672,397	23.1	20,112,196	20.8
Total Cash and Invested Assets	90,685,891	86.5	88,648,101	86.6	82,790,564	85.4
Premium Balances	1,745,107	1.7	1,217,370	1.2	1,206,578	1.2
Net Deferred Tax Asset	888,890	0.8	894,767	0.9	867,514	0.9
Other Assets	5,472,800	5.2	5,407,319	5.3	5,003,634	5.2
Total General Account Assets	98,792,688	94.3	96,167,557	93.9	89,868,290	92.7
Separate Account Assets	6,018,721	5.7	6,232,551	6.1	7,040,252	7.3
Total Assets	104,811,408	100.0	102,400,108	100.0	96,908,541	100.0
Net Life Reserves	61,882,172	59.0	59,618,909	58.2	57,399,585	59.2
Net Accident & Health Reserves	6,908,845	6.6	6,786,922	6.6	6,605,567	6.8
Liability for Deposit Contracts	7,919,029	7.6	7,324,917	7.2	5,807,709	6.0
Asset Valuation Reserve	1,734,270	1.7	1,697,222	1.7	1,611,913	1.7
Other Liabilities	10,824,071	10.3	11,451,682	11.2	9,376,995	9.7
Total General Account Liabilities	89,268,386	85.2	86,879,652	84.8	80,801,768	83.4
Separate Account Liabilities	6,015,427	5.7	6,232,392	6.1	7,034,414	7.3
Total Liabilities	95,283,813	90.9	93,112,045	90.9	87,836,183	90.6
Unassigned Surplus	8,020,947	7.7	7,782,027	7.6	7,567,546	7.8
Other Surplus	1,506,648	1.4	1,506,036	1.5	1,504,813	1.6
Total Capital and Surplus	9,527,596	9.1	9,288,063	9.1	9,072,359	9.4
Total Liabilities, Capital and Surplus	104,811,408	100.0	102,400,108	100.0	96,908,541	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Earned:				
Individual Life	...	...	5,356,184	5,227,401
Group Life	...	...	409,484	339,177
Individual Annuities	...	...	-159,461	607,473
Group Annuities	...	...	1,354	1,578
Accident & Health	...	...	5,045,045	4,807,353
YRT Mortality Risk Only	...	...	1,990	2,016
Total Net Premiums Earned	6,447,400	5,082,187	10,654,595	10,984,997
Net Investment Income	2,036,238	1,827,192	3,884,634	3,415,062
Reserve Adjustments on Reinsurance Ceded	-544,891	-373,424	-918,484	-187,838
Other Income	416,511	-78,633	288,079	-86,835
Total Revenue	8,355,258	6,457,323	13,908,823	14,125,386
Policy Benefits	5,924,138	4,515,710	9,142,796	9,513,420
Commissions and Expense Allowances	927,143	669,172	1,741,877	1,258,272
Insurance and Other Expense	885,808	1,068,041	2,325,411	2,507,860
Net Transfers to (from) Separate Accounts	-498,240	-802,037	-1,557,111	-1,066,704
Dividends to Policyholders	785,749	718,836	1,566,211	1,382,234
Pre-Tax Net Operating Gain	330,660	287,601	689,640	530,306
Income Taxes Incurred	41,813	72,084	121,540	63,397
Net Operating Gain	288,847	215,517	568,100	466,909
Net Realized Capital Gains	-64,949	-42,548	-361,915	-121,660
Net Income	223,898	172,969	206,185	345,249

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	6-Months		Year End - December 31	
	2025	2024	2024	2023
Net Premiums Collected	6,194,445	4,856,462	10,734,576	10,940,714
Net Investment Income	2,019,856	1,850,816	3,928,115	3,413,879
Other Income Received	298,885	-238,882	12,026	-379,531
Total Collected Operating Revenue	8,513,186	6,468,397	14,674,718	13,975,062
Net Benefits and Loss Related Payments	4,101,724	3,705,259	7,666,598	6,213,857
Commissions and Other Expenses Paid	2,221,983	2,055,665	3,677,230	3,411,296
Net Transfers to (from) Separate Accounts	-489,851	-811,363	-1,562,236	-1,066,580
Dividends to Policyholders	724,039	630,466	1,386,208	1,250,547
Income Taxes Paid (Recovered)	-35,716	6,573	98,967	28,134
Total Paid Expenses and Transfers	6,522,179	5,586,600	11,266,768	9,837,255
Net Operating Cash Flow	1,991,008	881,796	3,407,950	4,137,807

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Evaluating US Surplus Notes, 06/13/2024](#)

[Rating Funding Agreement-Backed Securities Programs, 03/08/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025](#)



Additional Rating Types

AM Best assigns Best's Issue Credit Ratings. Refer to the profile page to view current Issue Ratings for [Guardian Life Ins Co of Amer \(AMB#006508\)](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

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